contributed to the crypto boom, some other investment experts have shown their lack of trust in the future of cryptocurrency. These opinions, based on historical analysis and predictive algorithms, make people wonder whether the crypto boom is a bubble, after all.

First, we have Michael Burry, one of the first investors to predict the subprime mortgage crisis and profit from it. Burry has worked as an investor and hedge fund manager. He is one of the many people who believe the Bitcoin boom is ultimately a bubble waiting to burst. Burry said that he sees Bitcoin's long-term future as tenuous in a tweet, which has since been deleted. He added that the "market is dancing on a knife's edge" and that governments will take action to prevent Bitcoin from being used as digital gold. The investor says he is afraid the governments have plans to quash the decentralized currencies, sending their values to probably an all-time low.

Second, we have Deputy Governor Tim Lane of the Bank of Canada, who said in a speech that the recent spike in cryptocurrency prices is "speculative mania." This comment underscores what Michael Burry tried to warn us about the regulatory obstacles that Bitcoin is bound to face. Like this Bank of Canada official, many regulators worldwide have opposed the core tenets of cryptocurrency payment systems. Some of these are over safety concerns, while others argue that criminals are using Bitcoin to launder money.

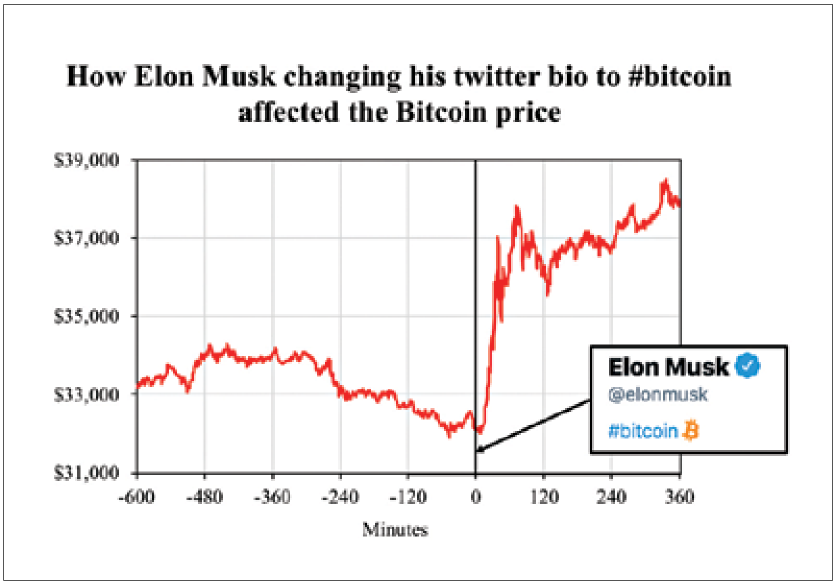
Though we have to consider that Tim Lane has a conflict of interest on this topic, we have to focus on how a single comment from the person changed Bitcoin's price trajectory. Soon after the statement, we saw a dip in the value of BTC, falling 7.5%. Many central banks worldwide have started building tailor-made alternatives to digital money so that they can retain people who might otherwise depend on Bitcoin and other Crypto Assets. However, it is not clear how these decisions will alter the cult-like following that cryptocurrencies have acquired.

Volatility and instability drive the narrative that the current cryptocurrency boom is part of an about-to-burst bubble. More importantly, veteran investors warn us about how dependent these crypto prices are on the influential evangelists we mentioned earlier. Quite evidently, we have some examples from the 22nd of February 2021. Earlier that month, Elon Musk's interest in Bitcoin had sent the price of Bitcoin to its all-time-high, at around $58,000. However, when he said in another tweet that Bitcoin prices 'seem high,' the market trembled, and the price became approximately $50,000.

removing the hashtag would be quite detrimental. These incidents and predictions tell us one thing for sure: The value of BTC and other cryptocurrencies do not work in the same way traditional assets work.

With cryptocurrencies, we have a situation where speculations and clout matter more than accurate numbers. To put things into practice, a well-researched academic paper on the growth patterns of Bitcoin will have a negligible impact on the price of BTC when compared to an official tweet or statement from a billionaire with a massive cult following. It does not mean cryptocurrency investments are not always detrimental. Considering that BTC hit its all-time high on the 22nd of February, almost everyone who purchased any amount of Bitcoin in the past has benefited from the investment.

On the other hand, it means there is no saying what could take place in the cryptocurrency market, and you could see the prices falling to three-digit figures from five-digit figures overnight. A country's decision to ban cryptocurrency or launch a digital currency by a centralized bank can easily do this. You have to keep these things in mind before investing in Crypto Assets so that you don't become one of the many who suffered from the Dot-com bubble or the 2017 Bitcoin bubble.



Credit: Blockchain research lab

How Musk's tweet affected bitcoin prices

All it took was a single tweet from an evangelist. Market analysts have compared the relationship between Bitcoin value and Elon Musk to how Warren Buffet's opinions impact the traditional stock market.

WHAT DOES THIS MEAN TO INVESTORS?

Even the single words from mainstream evangelists' have an inexplicable impact on the price of Bitcoin and altcoins. We can easily imagine the impact on Bitcoin's value if Elon Musk or Mark Cuban decides to tweet that they are no longer interested in cryptocurrency investments. It is worth noting that, just like the addition of "#bitcoin" to Musk's Twitter bio sent the BTC prices soaring,